

As of this writing, expense ratios average about 1.5% a year for stock funds, about 1.1% for bond funds, and around 0.6% for money market funds. As you'll see in the next section, though, the expense ratios of some funds are much lower, and there's no reason to believe that low-expense funds will perform any worse than high-expense ones. The moral of this story is simple: Invest in funds with the lowest expense ratios you can find, and ignore anything a broker, financial advisor, or bank employee might try to tell you about the great track record or bright prospects of the high-expense fund he or she is trying to push.

One other trap you should look out for: **loads**. Loads are typically one-time fees paid when you buy and/or sell shares in certain mutual funds (which are often referred to as **load funds**). They aren't included in the fund's expense ratio, so you'll have to look for them as well. Loads typically range from 3% to 6% but can be as high as 8.5%. Studies show that load funds perform no better on average than **no-load funds**. So why does anyone pay a load? Because they've been talked into a load fund by an aggressive salesperson. Loads are commonly used to provide generous compensation to the people who sell them, so they're highly motivated to convince you that the fund's performance will justify the load. Just say no. What you want is a no-load fund with a low expense ratio. The salesperson will get over it.

To get the scoop on a fund's fees, loads, and expense ratio, go to the company's website and read the prospectus. It will spell them all out in detail. For many, this sounds as painful as having four wisdom teeth pulled. But it's actually not so bad.

↓ **DECIDING WHERE TO BUY YOUR MUTUAL FUNDS**

Today there are more than 500 mutual fund companies in the United States alone, many of which offer dozens or even hundreds of funds. Don't be alarmed, though. I'm going to make this easy. As I said earlier, there are three places to purchase a mutual fund: brokerage firms, banks, and mutual fund companies. I recommend focusing on mutual fund companies. Why not the others? Brokerage firms tend to sell funds with loads and substantial fees, and their minimum investment requirements are usually high. Even if you go with a "discount broker," there's often some kind of fee involved.